wartime sterling holders like Egypt, Palestine, and Iraq. The UK also held the bulk of the currency reserves of India. Keynes, while pointing out that there was ‘inevitably no equality of financial sacrifice’ during the Second World War, expressed Britain’s gratitude to those Allies, particularly India who had put its resources at the disposal of the British and suffered from privation as a result.

Keynes also generously acknowledged that the war effort could have been seriously compromised, had it not been for India’s unstinting help on so great a scale. Keynes said that he appreciated Shroff’s realistic statement of the problem but stressed that the settlement of these debts must be a matter between those directly concerned. In a statement which was released to the press on July 10, Keynes gave the following assurance: ‘We appreciate the moderate, friendly and realistic statement of the problem which Mr Shroff has put before you today. Nevertheless the settlement of these debts must be, in our clear and settled judgement, a matter between those directly concerned. When the end is reached and we can see our way into the daylight, we shall take it without any delay, to settle honourably what was honourably and generously given.’[27]

Keynes reiterated that the Fund was not intended to deal directly with war indebtedness. He opined that the amendment the Indians desired would be unproductive of practical results, and was therefore better discarded if misunderstanding was to be avoided about the role the Fund was expected to play. Keynes acknowledging Shroff’s balanced viewpoint also marked a change from his earlier assessment of Shroff (‘Shroff is clearly, as Raisman says, a snake in the grass trying to catch us out and filled with suppressed malice’[28].) Chandavarkar says that it was obvious that Shroff, himself a seasoned polemicist, was trying to catch the British delegation out on the sterling balances but finds Keynes’s reference to his ‘suppressed malice’ difficult to fathom. He notes, ‘However, such acerbic comments have also to be viewed in the customary ambience of the cut-and-thrust of international negotiations on sensitive issues, where it is not always sweetness and light. But, as noted earlier, Keynes with his ingrained sense of fairness did later revise his opinion of Shroff. Keynes, the accomplished polemicist, must have found Shroff a sporting and worthy exponent of his own *métier*.’[29]